Inflation Can Shrink the Debt. What Does That Mean for Your Money?

Podcast: Know your risk

AI Executive Summary

1. Core Thesis

The episode argues that the US economy is currently navigating an unprecedented era of fiscal dominance and extreme monetary policy, where inflation is being weaponized as a political tool to manage debt rather than treated as a threat to economic stability. While markets remain structurally top-heavy driven by an unsustainable AI capital expenditure boom, there is a growing consensus among the hosts that traditional economic indicators are failing to capture the magnitude of fiscal risks, particularly regarding sovereign purchasing power and geopolitical instability. The speakers warn that the "inflation take care of debt" narrative suggests a dangerous path toward currency debasement, necessitating a strategic pivot toward real assets and vigilance against systemic political and market concentration.

2. Key Arguments & Data

- **Fiscal Dominance & Inflation Strategy:**
    - The President explicitly stated that "inflation will take care of the debt," signaling a shift in how US leadership views currency value versus national solvency.
    - Hosts debate whether we are entering a full-blown hyperinflation scenario or merely "fiscal dominance" (a spectrum rather than binary). They suggest current economic levers (rates, tariffs) are insufficient to counteract the debt burden.
    - Traditional profit margins on the S&P 500 are already blown out to ~26%; reindustrialization and reshoring strategies threaten to compress these margins if pursued aggressively alongside high-tech growth.
- **Market Structure & Performance:**
    - **S&P 500:** Closed -0.24%, failing to break through recent highs due to structural weaknesses in the bottom half of the index.

Breadth remains poor (only QQQ/Mag7 rising).
    - **Small Caps:** IWM (Russell 2000) down -1.3%, struggling under higher cost of capital. Equal Weight down -0.81%.
    - **Rates & Volatility:** VIX rose ~1.5; the 10-year yield hit a new high before fading. The spread suggests investors are worried about rate hikes despite inflation concerns being addressed by monetary easing.
    - **AI Boom Dynamics:** Unprecedented capital expenditure intensity (~3% of GDP in private sector + 9% public sector). Estimated AI earnings growth for the year is ~29%, driven almost entirely by data center demand rather than a broad economic expansion.

- **Geopolitics & Energy Security:**
    - **Iran/Tensions:** US gasoline stockpiles hit an all-time low (Midwest focus); Iranian sabotage flows on shipping routes are dropping from 14-15 million barrels/day to lower volumes, yet the threat remains high.
    - **US Power Projection:** The US pulled all B-1 bombers out of the UK due to fears of IRGC drone strikes, highlighting the "asymmetric power" Iran projects against established military bases.
    - **Trade Deficit:** Widening significantly (worst on record) largely driven by imported goods for AI/data centers rather than manufacturing failure; this creates foreign capital inflows despite high deficits.

- **Systemic Risks & Governance:**
    - **Elite Concentration:** The top 7 tech companies ("Mag7") drive a disproportionate share of earnings and wealth, raising concerns about democratic governance and influence (media control vs. political power).
    - **Insider Trading:** Recent legislative attempts to crack down on insider trading are viewed as weak or ineffective due to loopholes and bipartisan collusion.

    - **Real Assets vs. Cash:** Cash reserves are no longer a safe haven due to potential sovereign purchasing and currency devaluation.

3. Actionable Takeaways

- **Prioritize Real Assets:** Diversify into commodities, natural resources, land, and hard assets that hold value regardless of economic cycles or inflation spikes. Avoid holding excessive cash positions in anticipation of potential economic slowdowns triggered by AI capex peaks.
- **Monitor Fiscal Dominance Indicators:** Watch for signs of sovereign debt purchase programs, currency devaluation strategies, and the Federal Reserve's policy shifts regarding "fiscal dominance."
- **Hedge Concentration Risk:** Be cautious on tech-heavy portfolios ("Mag7") given the risk of multiple compression if AI returns stall or energy prices rise. Look for broad-based index corrections to signal a market top.
- **Track Geopolitical Risks:** Closely follow US Middle East troop deployments and sanctions effectiveness; an escalation in Iran-US conflict could disrupt energy supplies further, impacting inflationary pressures.
- **Adopt a "Dollar-Dominated" Strategy:** Position portfolios favorably for a scenario where the USD strengthens against non-dollar currencies to hedge against potential global trade imbalances and foreign capital flows.

Full Transcript

I can't emphasize enough that the president of the United States just said that inflation is going to take care of the debt. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and we finally got the old band back together man It's been a while joins it joined as always by the brain trust himself mr. Chase Taylor It's been a minute man, huh? Yeah, we both did a bunch of solos there for a while. So yeah, yeah, I know it's um, I I always enjoy I'll be you know Doing it together a lot more. It feels like you're playing ping-pong with yourself. When you're doing it, when you're rolling solo, man. But obviously a ton to talk about, a ton to keep you or to catch up on. But man, the rate story really is something else. And did I hear correctly? I just saw a blurb, but did I hear correctly that a sitting US president said inflation will take care of the debt?

Did you see that today? Yeah, he said it. I think I think he started seeing it last week Like hey, he's got high inflation. It would it would take care of it. It's like Yeah, I heard you shouldn't say it out loud. I heard him allude to it and Kind of like it was like this magic financial trick that he had and you're like, well, yeah, but that's because the value for currency is going down the tank Another crazy one and we'll get to the rundown. I still want to forget them I didn't want to forget to mention this One of those crazy kind of signs of the time and the reason it was is because I grew up in a household That I don't want to make it sound like they were crazy or kooky or irrational or

anything, but they My grant, you know, my grandfather was in the business in the investment business My soul is my dad and they were big, you know believers in coming inflation not like hyperinflation kooks, but and I remember, you know telling stories about or hearing stories about other companies, or other countries and how they cheapened and degraded their own currency over time and coin clipping and all that kind of stuff that we talk about. And then to see now, and I know it just happened with the penny, but to see now that the treasury, I guess, is going to discontinue or there's a bill that they're proposing to discontinue minting nickels because the underlying metals were 13 cents. Did you see that? It's just wild because...

I used to collect necklaces and the ugly aid pennies got bags. Yeah. Yeah. Well, and I remember it. I remember them telling me, you know, one day you'll see this happen. And just to see it again, it's not new. We've known that for a while now, but it's just wild times, man. Wild times. Again, these things that you know are coming, you know, it's like somebody saying, eventually America will reach a hundred and trillion in debt. Right. You know, that day's out there probably. But to see that to see those benchmark days actually come it's pretty wild anyway But why don't we why don't we jump into it when we jump into the rundown and and take it from there? Yep, by the way, I'm watching the Guardians season and in real time while we do this so if I scream it's that Yeah, so SAP closed down point two four That doesn't sound bad, but equal weight was down point eight one. So That breath problem that was starting to need a little better. Now getting un-better. IWM down about 1.3, so small caps continue to take it on the chin here. Q's only down 0.25, basically the same for Mag7. Oh yeah, there we go. Already losing. Game started like two seconds ago. All rowed XUS down 1.15, and that was in large part because the dollar was up 0.44, and that's a new high for the move for the dollar closing high.

Nothing really, honestly, interesting from a single name stuff. So let's skip over that. Oil down half a percent on the front go out to like May of 27 year, about up half a percent, which has kind of been the pattern of late front end, not doing that well. And you just keep putting in new highs when you go out, you know, kind of six to 12 months. Gasoline and diesel futures have been pretty chill lately, but all of a sudden that diesel futures chart looks a little... A little unnerving like it wants to get going again, which obviously

would be Would be rough on rates and inflation everything Gold down 1.3% silver down about twice that gold miners down 3.1 You had Bitcoin down another two and change Let's see what else yields. So it's kind of interesting to me that the IWM got smacked around because the two year was down another three basis points Ten was flat and the third year was up one basis point Although, you know, before the close, the 10, the 30 kind of put in a new, a new hire for the move before kind of fading back. And then vol up about one and a half today on front month fall. Yeah, we'll say within the AI trade, the DRAM, which I mentioned yesterday, we have a small slice right tail hedge that ended up up at 0.8 after starting pretty ugly. So of some interest there.

you know, it's really interesting to watch this internal struggle with the market and Again, we have pushed the new highs and we still haven't had a break like I like I really thought that we would and you know, and while you were gone I was saying that I I just didn't know if the more I didn't think the markets would be able to handle or Stand up to these rates without at least some bout of volatility or turbulence or something like that And again, I you know you're at highs But you haven't convincingly broken out, certainly not with the S&P 500. Yeah. So the Q's kind of have, but S&P hasn't. Yeah. Right. But it's sort of awkward, right? Because you've already got the index the most top heavy it's ever been, right? You've got the breadth issue that we're talking about. So you've got that lower half of the index. I mean, the easiest way for this market to rally would be the rest of that index joining the Q's. And, you know, you'd probably been ripping pretty good.

Or you could even stomach a pullback in the queues if you got the bottom half of the index kind of come along for the party. The issue that you got there though, is like I said, you know, we're kind of talking about this awkward moment for the index itself because all of this news, and you sort of get it with the queues, right? To be fair, the dollar is up, which makes US assets more attractive. And that's one of the reasons I was saying, we thought about a volatility was coming, but I didn't think shorting the cues was the right move. Shockingly, even though you look at the overall tape, we're green on our IWM short, I believe. But it's this awkward moment because all of the stuff, I understand how the cues can hold up to it because

if the AI boom and build out keeps going, you know slightly higher cost of capital does certainly doesn't wreck that party and and you know i mean it could lead to a domino effect that could but um like i said it's a awkward moment because all the news maybe the cues maybe those seven stocks can look past it but the bottom line is business conditions are and and banking get all that stuff is getting tighter and tighter and tighter higher cost of capital higher borrowing costs None of the stuff is economically positive, right? And I don't think is going to benefit those bottom, you know, the bottom half of the index or for that matter, the other 480 names in the index or whatever the case may be. So I kind of think that if this market's going to rally, you got to get something to happen. Like you got to get a resolution in Iran. You got to get something that'll kind of lower rates and lower energy prices. Just because I mean, we've already done. I have a lot of heavy lifting. And when you look at where those names are in their ranges, it just seems like a lot to ask to think that they're going to keep carrying the day. Yep. I think to speak of the awkwardness, like you look at it or like earnings, the differentials between the different groups, you have this amazing earnings growth in the S&P 500, but just like everything else, it's all just at the top. So if we do get SAP accused especially roll over hard with those earnings, then you're going to see massive multiple compression. So like the forward multiples would collapse for the hyperscalers and stuff, which would be like, talk about a tough read, right? Like at some point you'd be like, wow, I could buy it at what? You know what I mean? So the cross currents are insane whenever it comes to that. And I sometimes go back.

The more time goes by, the more companies like whole feudal thing sticks in my head. And I was actually, I was at a retreat last week. And one of the other people there was Isabella Kamenska, the journalist. And she was talking about this framework of like the US needing a new social contract and almost having like a needing like a house of lords, house of commons kind of thing, the way the UK does because At the end of the day, you know, we were founded on not having aristocracy. But at this point, the Brolin Garcs basically are, they're our lords, whether we want to talk about it or not. And like needing to find a way to have the comments, have a better check on some of that stuff. But the more the top of the index does

what it does, and the more these IPOs just add to the top, you know, the more you have truly a separate class of for investors.

but also just for sociology, for governance, everything. And since she said that, I can't get that out of my head. So this mash-up of Kupi and Izzy's view on that stuff has been living and rent-free in my head lately. And what it would suck to have this world of, you buy the top of tech, and that's it. Everything else just rots. Once the once the war slash wars are over then then like things can chill out for a while But like I keep like I've been saying repeatedly like beatings will continue to the war ends and I think that's Kind of obviously the case like a lot of people got all fired up about thinking Iran lost control of the straight And that you know was was not the correct interpretation They've been reasserting themselves more. They're saying they're gonna research reassert themselves even more here soon like If all that plays out then, or even if it doesn't play out, honestly, we're still running a deficit that gets more and more problematic. Just today, the Midwest and the U.S., their gasoline stockpiles hit an all-time low. It's just been such a slow grind on oil that I think everyone has just stopped paying attention to it. But you can tell the market still does. When oil and when products move, you see it really ripple through everything else.

That's more important to me because it's less important to everybody else like everyone stopped caring and I get it like it's annoying to keep watching but No, it's wild man. It's funny because we talked about that last week Where I said Yeah, I'm sure you probably you you're busy. I'm sure you didn't hear this but yeah for those scoring home. We don't listen to each other very much Well Don't listen to ourselves either I'm actually more likely to listen if you roll solo than that. I mean, the only other time I check it out. No, no, it's like hearing it. It's the same as like hearing recording your own voice. It's just I know I feel like I sound like I feel like I sound like a like an idiot child. Anyway, but one of the things we were saying is looking at last week, we had that day where I want to say in a single day, I think you got through like 19.7 million barrels.

In a single day that was at least the and I think for the week you average like 14 and a half million a day Yeah, and then there was you and I texted and on that day that that announcement came out I ran hit four more shifts

and what I was saying was look I think it's really hard to interpret that number any other way then Iran has lost Some of its grip some of its force, but I was like I think we're gonna find out for sure if that's the case in the next two weeks because either way That's an amount of daily flow that is paramount to them kind of losing their, you know, like in MMA terms, kind of losing a grip on the near, on the, on the rear naked choke. Um, it buys us a lot of time if that, like 80, 90% levels for sure. Yeah. Yeah. And so I'm assuming now I have not looked, I've actually forgotten to look at that. I've been, I've been looking at some deep value opportunities that have been kind of at the front of mind here. But what have, what has happened to daily flow numbers since then?

Yeah, they've come down a lot. Now, to be fair, the hard thing is you basically have these preliminary numbers and then the cleanup numbers where they have to go and do all the satellite imagery and stuff. And typically, the preliminary numbers are awful, and then they reset a little higher after people realize how much ship to ship happened and all that. But yeah, the flows have definitely come down. And I mentioned this on the show yesterday. We basically went from Iranians hitting one one a day to two a day like they just up they just doubled the volume of what they're hitting and they've successfully turned a few around in the last week, which is I knew to but today they came out now they say a lot of stuff just Worth noting right but then today they came out and basically said like yeah, we're gonna We're gonna close that thing Now will they actually close it probably not but can they do a little more than they've been doing? Of course they can like it's never been about whether they could it's to me it's largely been about like you know if if China wants a bunch from Saudi Arabia or whatever like they're gonna call and be like hey you let out blank ships okay and then they're gonna let them out so I think it was a bit hard what do you what do you make of the fact um and again you and I haven't had a chance to talk about this um I wasn't surprised to see another carrier going to the Gulf I was surprised to see an additional 10,000 ground troops in it What is your, again, you and I haven't had a chance to talk about that. I'm surprised we actually didn't talk, we glossed over it in yesterday's investment call, but yeah, what are your thoughts on that? I think that's mostly rotational replacement, not an actual boost. There's a little bit more, there will be a little bit more, it looks like capable ground troops than there

was by like a few thousand, but nothing I would read into you, like nowhere near enough to do anything on the ground for like, Unless they're you know, unless they're about to launch the dumbest thing in the history But but just as notable to me was the fact that we had to get all of our B1s out of out of the Well, not the region because they're in the UK, but we had to pull all of our B1s out of the UK because we were worried about IRGC led drone strikes despite it being in England, which is Which is crazy. Yeah, it's like There's no other way for me to read that other than Iran can project power in England better than America at the moment. That's terrifying. Yeah, that's why it's very, it's very asymmetric power, which makes it, you know, it's a bad comp in a way, but at the same time, all that matters is results. And if you can't put them there, you can't put them there. You know, another thing, I don't want to get too far off the rails here, but another thing I was thinking about recently, when you hear, when you see, you know, some of the stuff that's going on in France.

when you see some of those realities that we're discussing that are occurring in the UK. When you see a US sitting US president saying that inflation will take care of the 40 trillion in debt, right? The one thing, and you and I have been looking for this for a really long time, but the one thing that we've been waiting for and a lot of people have been waiting for, and not out of a macabre sense of like, you know disaster is coming and the and the sky's about ready to fall but just in You know a it's gonna have big impacts on people's lives, but B. It's also just gonna be fascinating to see What's done and what I'm alluding to here is extreme monetary policy, right? I it sure does feel to me chase like we're on the edge of it When I hear You know when I see what the rates are doing and when you start factoring in anything near these levels and start looking what it does to debt payments and You look at the issues that already exist, and it just feels like we're on the doorstep of kind of the next serious ratchet up in the monetary debt cycle game, you know, whatever you want to call it. And I am really interested. It feels to me like we're on the verge of maybe some sovereign purchasing funds.

you know, and I would anticipate cross collaborations, just like you've had in monetary policy, the purchasing of sovereign debt on behalf of countries to bring down their financing. I just, doesn't it feel like we're on the edge of

just kind of a new, a new age, if you will, or what guys like Luke Gromen are referring to as fiscal dominance? Yeah. I mean, no two ways about it. And it's funny, I saw Lin Alden was having this conversation with people of like people being like, well, we're not in fiscal dominance. And she's like, fiscal dominance isn't a one or a zero. It's like a spectrum, you know? And we are in the spectrum of fiscal dominance for sure. Now, are we Brazil? No, but like, but we're in there. And, you know, whenever you have 200 diesel and like everything we're dealing with right now, like that's when you start really feeling this stuff. But I will say though, if the war ends and inflation can settle out for a little while. That buys you a lot of time, and all of a sudden, all these crazy rate fears and CISO dominance fears, they can go away for a few years. But it won't come back. Yeah, they can. But therein lies the problem. There's one part of you that you don't want to see these things come, even though you know that they're inevitable. But there's another part of you that sits there and goes, part of you doesn't want the pressure to get taken off because it'll force somebody's hand.

and force people to take a serious look at this thing. But like you said, that's not going to be, and you and I've joked about it for years, right? They'll kick the can until there isn't one. You know what I mean? They'll run out of can and run out of road before they try to quit doing that. And the war and energy aren't the only inflationary things out there. If we mean it and we want to get China out of our supply chains, if we want to reshor, that stuff's crazy inflationary. Like you start to see Europe get a little more serious on on pushing back on China and And I get it and like the US and Europe need to do that Especially in these strategic areas, but then you look at the consequences and it's like well What if we built all those things for ourselves? It's like oh we can do it at 8x the cost or whatever and it's like like Where's that money coming from? You know how we dealing with that inflation? Well, I'll tell you I'll tell you I'll tell you we're a big chunk of it. It's probably gonna come from I would anticipate seeing that traditional profit margin on the S&P, which is blown out to 26%, I would anticipate C start moving back the other direction. Yeah. And that's the thing with one of my beefs with the way this has been approached for the last three administrations, Trump by Trump is, I think they all recognize, I mean, even go back to Obama, they started to recognize, like, we got to do something about this.

this China thing didn't work out the way we thought, and it's been getting really problematic. The problem is everyone wants, especially I think in the last couple of years, you really feel it. We've got to get these guys out of our supply chains. We've got to bring back. We've got to reindustrialize. But also we want all these countries to pay us a bunch of tariffs, and we want them to invest a bunch of money into our factories. We want our stocks to go up like we want. The reality is if you really want to reindustrialize, You got to just eat the fact that stocks are going to go down. Corporate profits are going to get slash household net worth. It's going to take a hit because asset prices are going to come down. There is these side effects that just straight up, they come with it. So if you want the medicine, you got to take the side effects and nothing. So we want to have both. We want to be like, no, cool. We want to reindustrialize, but also keep record high profits and all that kind of stuff. And it's just not how it's going to go.

No, the other thing that you bring up is it also feels like you're on the cusp of kind of, you know, because these things tend to, everybody's going to be like, yeah, cycles. I'm not talking about broader cycles, but I'm saying even in kind of like pop culture, right? These cycles of like, we call it a cycle of enrichment, right? Like what is the thing that people are most frustrated by today, right? And what was it two years ago? And you know, it's kind of a revolving moving target, right? But I really feel like we're very close to a moment where that focuses back on the quote unquote elites and you know, using the Meg 7 as kind of a poster child of that. The tech pros, like we've called them, I feel like that moment is getting nearer and nearer where there's going to be the political will to deal with it. And what I'm afraid of, you know, if you think about, if you think about capitalism and you think about free markets, you think about, you know, for lack of a better term, and I hate this because of the way that the word in my opinion has been kind of bastardized, but American exceptionalism, you know, I think one of the biggest, one of the biggest favors ever done to our system, to free markets, to capitalism. And to, like I said, the idea of things like American exceptionalism was at the turn of the last century where Teddy Roosevelt went after the truss. And I think in retrospect, one of the reasons that it was such wonderful thing that he did it is I think it was so much more productive and powerful that that move came from somebody who was seen as being on the right or right pro free trade and pro capitalism. What I fear

now is that that will get dealt with from the left and that scares me and it scares me because a lot of the it's not the moderate left that's pushing the hardest and that probably will not be leading the charge on this.

Do you know what I'm saying? It's not the pro business left. It's the hardcore left. And it's a concerning thing. I really wish that, again, that you'd get a Roosevelt-like figure that would step up and deal with this. Because you're going to have, I mean, look, I guess it's possible that some of these AI investments not paying out could bring some of these guys back down to Earth. But when you look at the underlying businesses, and again, this is nothing new. Most of those businesses effectively become un-economic. You know what I mean? They control such a large percentage of profits, right? They control such a large percentage of wealth that you can't... I don't think you can have... I don't think that we have one right now, but I don't think you can have a properly functioning democracy when an individual owns that many assets.

in a world where there is effectively no corporate limit on paying contributions. It's kind of an Occam's razor deal there. Do you look at the most simple outcome of that? And it's pretty obvious how it goes down. Yeah, I mean, look how much control and input and influence they have over media. I mean, social media, they own it, right? Yeah, and I mean... It's really funny, too, because people look for ads and stuff like on TV. I'm sitting there going, guys, you still got to adjust your thinking. Things that go on on social media have far bigger election implications than any TV ad that's run these days. You know what I mean? It's just reaching so many more people, such a bigger platform, so more influential. We got to deal with it at some point, man. I mean, it's just nuts. I mean, you look at the market cap, you got Nvidia closing in on 6 trillion.

right market cap we're talking about you know one one-fifth the size of the almost the entire u.s economy it's market cap like this now i granted one person does not control the majority of that or anything like that but that's that's just insanity um i mean it's still it's it's state level like size and power yes there's no other way to to view it Yes, and and and look I don't have any evidence or any accusations that they have Yield or wielded that power in an you know a bad way or a or a you know dishonest way or manipulative

way And I'm not saying that but what I'm saying is it is inevitable You know if they continue to grow at that pace it's inevitable that they will swing, you know unfair Influence right like they'll have to right the way they'll have they'll have something that they want a concession they want from the government a trade deal that they want to go through and just by definition their size will give them a an Illegal and a completely un-American and unfree ability to access people in power and influence things on an individual basis that nobody otherwise would be able to do and you know it and it's one of those things we have to grow the crooked politicians, but like If you think about it, when you have a company that size and you're a president, you have to take that call. I'm not saying you have to go along and be complicit and let it manipulate you. But you know what I mean? Like the CEO, even there, you have a lot of incentives to do it. Yeah. Yeah. You have a ton of incentives to do it. And so many opportunities for, you know, for ill gotten gains and coercion. And, you know, it's just crazy. It's another conversation we're having that.

And I think it was, I wanted to have it with you because to me it is just the quintessential issue of what's wrong. One of the issues that we have in this country is that we recently had Republicans float a bill that would actually put real teeth into the anti-insider trading laws in DC, right? Now, I did not read the bill, but apparently what I have heard is that there were poison pills put in the bill that they knew Democrats would red flag. And I just sat back and laughed. And I heard, I heard people on the right using the fact that the Democrats flagged it as, oh, they're so bad and evil because they tried to do this. I heard people on the left saying the Republicans were evil for putting in the poison pills. And I looked at them and I go, hey guys, guess what? Both sides probably agreed to do this.

and they probably collaborated on this, right? Like they both agreed. Yeah, they were like, and they were both going to throw it at each other. Meanwhile, guess what? We still get it insider trade. And then somebody responded me, oh, well, that's not true. Those laws are already illegal. And I couldn't help myself or insider trading is already illegal. And I couldn't help myself. I started laughing. The law that was passed in 2012 is a joke. It has, it's almost, have you ever read through it? I've read summaries of it. Basically, it is like, when we get accused in our industry of insider trading,

the way the laws effectively work is we have to prove somehow that we didn't. And that can be a tough thing to prove, right? There are 100% and there are guys that have gotten the book. Well, not the book, but there are guys that have gone down for insider trading that didn't. They didn't.

Yeah. Okay. When you look at the rule that they wrote for Congress, it's almost the exact inverse that Congress has. All you got to do is look at the, look at the, has anyone ever gone to jail in Congress for, you know, some illicit trade? No. Yeah. I think somebody, I think, I think it was one of multiple things that a guy got tagged for in the last two years or something like that. It probably was like some insane stuff and not necessarily just a trade. trading thing. It was probably like, they probably had him on a voice recording, getting the inside information and putting in a million dollars in cash in his house or something. Yeah. Like, right. And that's what I said. I go, look, if they have a voice recording of you saying blue horseshoe loves and a cot steel, and then they look in your portfolio and a week later, you made 10 million on a single trade. Yeah, sure. That might get you nipped. Okay, but You don't have to be, you know, anyway, it's just the and I just sat there and I went, if you want to look at the returns that those people are putting up and if you think that they come from anything other than illegal insider trading, you're an idiot. You know what I mean? You're an idiot or or like the bastion of idiots that is Washington, D.C. and elected officials just all happen to be Wall Street geniuses with track records that are drunken on. Right. Right. Like which one which one am I going to believe here?

Um, no, but it's just it's just a crack up because I watching the political mud slinging back and forth and looking at the makeup and you go, oh, you guys probably all agreed to this prior, right? We're going to push this bill to satisfy the people on our side and tell them we did and we're going to make it look bad. You know, oh, it's just and and to be clear, like even if they even if we banned it, they would just do it in dirty private equity deals that would just be not public and and they would still get it. Yeah, they did they do the you know the harry reed type stuff where harry reed just happened to have the most incredible speculative timing on land if he bought raw desert out and just boom amazing in the next five years there was a Highways even Lincoln in Washington did that stuff. So yeah, yeah really lucky land speculations like yes I'll shut you guys gonna build a railroad right there

Boy do I get some land for you, you know So look at that. Yeah, what it's what look what luck was believe the luck the good fortune, right? I'll scratch your back. You'll scratch mine. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. What else do we see now? What else have we not? Like I said, we've been doing our investment calls, but we haven't really had a chance to go over over stuff on this. Yeah.

One thing I wanted to mention was the trade deficit. We haven't talked about it in ages. If you remember the first six months, we talked a lot about it. That was going to be a big catalyst for the rest of the world outperforming the US. If we brought the trade deficit down like they talked about, the first six months of the admin, hardcore talk about lower budget deficit, lower trade deficit. I think everyone knows that we're not there on the budget deficit. Didn't really work out. But what I don't think maybe getting enough chat. Shatter lately is the fact that the trade deficit. We just had the worst one We essentially ever have had other than like some of the crazy adjustments right around liberation day Now It's not necessarily a policy failure. It's a lot of it's just you got to import a lot of crap to make these data centers So I think that's a lot of it but at the same time like that's that's part of the reason in my opinion you do see dollar up and you see, you know us equities starting to perform pretty decently versus the rest of the world. And it makes it really hard for US stocks to have a big problem or the US economy to have a big problem if we're going to just blow out our trade deficit and get that much more foreign investment. And another reason this came to mind was, if you remember all the air quotes trade deals we cut, especially with partners where the administration was like, yeah, we got X trillion dollars coming in.

And then you go look at the actual numbers that are coming in and it's like 15, like that's actually starting to shift. Like a lot of those investments are starting to get real, but it makes sense because the trade deficit is blowing out. So if you're Korea, you look over like, oh, we have a pile of money. Like, all right, sure. Like throw, give them a 30 billion deal on some LNG

plan or like whatever the case is, you know? So you're starting to see that stuff flow. So I think this is a good thing to keep in the back of our head. Like, hey, this trade deficit's blowing back out. that has implications for currencies, for our equities versus everyone else. Something to start watching. Now, I think if the AI build out slows down some that it can actually get better. And if we get more serious about the trade stuff, other than just some 10% blanket tariffs. But for now, that's not enough to stop the trade deficit from being really bad. And no one's talking about it anymore.

No one, you know, the GOP was all over that stuff. Just crickets lately, but at the same time, I don't really blame them. Like what are you going to do? Not build the AI stuff because, you know, you can't import all from Asia. Yeah. Yeah. Um, no, that's a, that's a really, that's a really interesting deal. And, and, and here's, here's the part of it too. Uh, regardless of what you think about future AI, and obviously you and I have brought up several red flags and several concerns that we have, especially with you know, return on invested capital and all these different things. With all that being said, there are no indicators that's slowing down. As a matter of fact, you get a note out today that SpaceX is looking at buying 40 billion with a B, 40 billion dollars in NVIDIA chips. And they got to raise that money. And I'm assuming you're not a billion on the IPO wasn't enough. And I'm assuming you're not fist bumping NVIDIA. The guards just scratched together around we're tied again.

There we go. All right. You're still living, brother. But yeah, another 40 billion in chips. So factor that right into your earnings forecast and just kind of look at the entire, you just don't see it slowing down at all at any moment. As a matter of fact, well, I believe you talked about this yesterday, but as a matter of fact, earnings estimates just keep going up. And you're looking at what? 29% earnings growth this year? Now, what people need to agree over? What people need to realize is, look, it's not a bad sign. I'm not saying that at all. But it's also not an economy as booming sign because that is literally coming from one thing. It is this whole AI trade. And the concerning part about it is everybody's investment is everybody's margin and profit right now. And I wouldn't say concerning part about it.

But the part of it that's hard to judge, meaning what we know is that this is not your kind of normal earnings acceleration. This is earnings acceleration that could go in reverse and disappear inside of 12 months because of that dynamic. Yet it could continue on for three or four more years. So it's just really hard to handicap these things because as you'd expect, you're probably not going to get the type of lead time and the type of signal that you would from more natural investment cycles, from more natural economic cycles, right? I would expect the quote-unquote slowdown to be much more sudden and just kind of... Hit kind of like kind of like the tech bubble like I said like the tech bubble in 99 Right, you know where you had a 12-month period of time where earnings on the s or I believe it was the NASDAQ earnings on the NASDAQ drop 40% So and that's the tough thing about you know investment or or economic and economic cycles or economic growth periods that are built primarily on cap X is it can stop that's And it's funny because like I was I was just why you're talking I was thinking about you know how many times we talked about like Well, nobody's been alive to invest, you know really when inflation is going up or rates are going up like and we've had to adjust to that in the last five years Well, not only is nobody alive. No one's dad was alive For a capex boom of this size. No, you have to go back to the railroad boom Which was in the 19th century for something comparable and I saw something yesterday. That was true, but like where they were showing, like, hey, this actually is going to end up being bigger than the railroads from a, like, CapEx intensity. So, like, none of us have experienced anything like this. And none of us know how it's going to go because it could turn into such a productivity miracle that it's fine or it could turn into a bust that makes all these prior bus canals, the railroads, you know, just steamships, whatever, like, whatever you want to look at, like, just look small.

And could be somewhat of a mix of the two, right? Probably will be. That would be the odds on favorite. The other thing, the other reason why I'll sit there and kind of push back that there is no comp for it is any applicable numbers. Like we could look at the amount invested in the railroads as a percentage of GDP. We could calculate so many different things. Okay. But the problem, it's not going to tell you the real story because America wasn't anywhere close to being the largest economy in the world at that point either. Right, like I don't know who was but I mean I would imagine the

British economy was multiples larger than ours was at some point at that point Yeah, and they started the road to so right and so really you'd kind of want to go look at their GDP Or you know didn't go look at those ratios to comp it, but no it's it's I mean it's unlike anything we've ever seen where the annual spend is a measurable percentage. I mean, the CapEx spend is what, 3% of our entire economic size, right? That's just unbelievable, especially when you're talking about the largest economy in the history of mankind. And that's private sector based while the public sector runs a 6% deficit on top of it. So there's 9% of GDP just I mean, it's just a fire hose of activity and money just being, you know, sprayed at the economy. That's why it's so hard. Every time some people are talking about recession, I'm just like, man, with the government and the tech pros like making it rain, like no one has ever seen in history, like together. How are you going to get a bunch of unemployment? Well, and that's what I was saying. It's so funny that you bring this up because I was having this conversation via text with our friend, Dimitri.

And today, and I just said, hey, he was talking about how he'd raise some cash, but didn't really have a game plan for it. It was just like, you know, what do you think? You know, it's kind of spitball. And I just said, look, man, I go, look, I think there's 18 million different ways you can play it. If you'd like to talk in more detail, we can jump on a call. But the point I made to him is I go, keep in mind that whatever happens economically, you're going to want to buy dollars-dominated assets. Right? And you're going to want to own real assets. And the reason I say that is not certainty of trajectory, not certainty of price levels, but just whatever occurs, we know how it's going to be met. These issues do not resolve with everything dropping in price and unemployment staying at 4.2%. You know what I'm saying? That's not how these things resolve.

If you get a relief on the inflationary side, my feeling is it's going to come with serious, serious growth issues, serious economic slowdown. And we know what that's going to be met with. And my whole thing is just thinking, we have those overarching themes. We were talking it again yesterday on the investment call. You have these overarching themes in these cycles or in these runs that you always want to keep at the front of your head. you know, prior to this cycle, it was, you know, every time the FANG names get down

and to 20 or less times forward earnings, go in there and buy them, right? These things that you want to keep at the front of your mind. And I think that the one that we have to constantly keep reminding ourselves as investors, whether you're a retail professional or whatever, is that the real threat going forward over the next 10 to 15 years is going to be sitting on cash. And that does not mean there won't be scares. It doesn't mean there won't be drops or doesn't mean there won't be volatility. But you've got to remember as it relates in my opinion to commodities, natural resources, land, anything that would qualify as a real asset, among other things. Nichols. Nichols, there you go. But you know what I mean? Just you got to remind yourself that it's going to feel dicey at times. But this is not, you know, we're not going back to 50 cent loaves of bread. You know what I mean? Like this, we're not.

And that's not how these things are going to get resolved. That's not going to be the public response to it. And these things are not going to resolve with currency values resolving higher. If I mean, like I said, I just I can't I can't emphasize enough that the president of the United States just said that inflation is going to take care of the debt. So again, which is something we always know, you know, we've all known and it's not a controversial statement. And it's just wild to hear him actually say it. You know what I mean? I would take care of the political fortunes of his party for a generation. If you let it go too hard, that's for sure. Yeah, it's just wild to hear those things said. And I just think when you hear those things said, I think it makes what we're saying that much easier to believe and that much easier to wrap your head around. Because you're like, look, we're listening to politicians now, and they have to. They've got no choice.

You know, I'm old enough to remember when politicians ran on strengthening the value of your dollar and extending it further and having to buy you more things. Right now, now hyperinflation is like a policy tool that people are throwing around like that. Don't worry about it. We're going to inflate it away. And the average person, you know, the other thing too is it's funny to hear them say that because how many times do people think you were a kook? Well, we're going to inflate away the debt, you know. Even though it's again, like I said, it's so obvious to probably people, most of the people that are watching this podcast, obvious guys like you and I.

But anyway, just wild things to hear come out of a sitting president's mouth. What else you got? Anything else we need to hit? Nope. I think that's it for me. Guards are up four to one now, though. We'll say that. Hello. I don't know if we told everybody, but during baseball season, especially during playoffs.

If the guardians enter in it, we're all default guardian fans because chase these to it. Well, anyway, this is what we do. We make the playoffs, which is awesome. That's all I ask, but then we lose in the first round. It's just, it's just how it worked. We have, we have the smallest payroll in baseball. Well, you kind of won in the first round this year because you got to buy, right? Yeah, which, which is fine. I was happy, you know, we, we win the division most of the time and we have a, I think, I think the Dodgers payroll is like six, seven XRs. So like. There are teams 74 million. That's it. Oh, small smallest of baseball. So like I think I think that's being in the playoffs like a giant win. Yeah, exactly. LA probably spends another double a team. I think their top two players probably make more than that. Like not really not joking. Oh, no. Yeah. Yeah. Because well, Tony's getting like 70 million a year. And then went ahead and traded for the best picture of the deadline because why not? Why? Because they're balling, baby. I kind of hope they win the World Series again. Go three in a row so that everyone's like, you know what? Like do a salary cap run down.

I honestly kind of hope that happens that way. Yeah. Look, I understand why they don't want it. I get that, but yeah, that's for, I don't see. If it's not competitive, no one's going to care. No, especially when you look at the wild success of the NFL, you know, as annoying as that salary cap can be, man, it sure has been efficient at keeping, you know, teams coming up, keeping the interest going, you know, it's, I mean, oh, the NFL would be a mess if they not installed that. By the way, if Vinny is listening, your Jets are going down this weekend. Oh, that's way. What is the Jets? What are the Jets record right now? I think they are one at one and three. OK, they're one three. You got a three game losing streak. We're going to three game winning streak. And we're still underdogs. We've been underdogs every game this year. My theory is we'll keep winning as long as we're underdogs. The first time we're favored, we're going to get killed.

Yeah, kind of weird man. You guys get rid of miles Garrett and just get out to a three and three and one start Not only that we're getting a region and and Jared verse who we got in the trade back zero sacks But we're generating more pressure than we did with miles, which is mind-blowing Wow, that was me Mason Graham. It's just been insane just totally unblockable and Has verse but is verse not playing well or does he just know he stats? so He doesn't have stats. So he, he tried to make himself into a normal pass rusher and it didn't work. What he's good at is just, as he says, I'm run through your face. Like when he just does that bull rush, he collapses the pocket. And usually it doesn't end in a sack for him, but it, it messes, it gets the quarterback off, off his spot. And that's, it generates outcomes, you know? Yeah, huge. Yeah.

He just because I watched him at LA and you and I were talking about this earlier the year, like unless something happened to him mentally or he doesn't like Cleveland or whatever, he's a ball player. I mean, he's admitted like I was trying to, I was trying to go around the edge and get sacked. He's like, I realized, no, I just got to do what I do and run through a guy's face. And since he started doing that, like we've got, we've gotten way more pressure with, we sat there and Rogers five times and that like usually never gets sacked because he gets rid of it so quick, but. you know, when the interior, when the middle of the pocket just is in your lap, there's nothing you could do. So no, that's, that's, hey, it's kind of like my, uh, it's kind of like my youth football team. Little update, 64 to nothing this weekend. And man, I had, I had, I had three kids score touchdowns that have never carried the football in a game. I had the backup quarterback in the entire second half. I was pulling every lever. I even told my starting running back on a sweep to not score.

I just don't score and he ran out of bounds and did a good job listening. We're not trying to do this, but here are the staff so far. So 4-0, 174 points we have scored. We've allowed zero. That's crazy. We've given up four first downs on the year and net negative yards in every single game that we've played. Net negative yards. So like the 85 bears and like the Kurt Warner offense combined. Oh man, it's fun. I have a tip for you. The craziest thing I've ever seen in my life, football, was when Art Brails, who coached at U of H and then Baylor, when he was in his high school heyday at

Stephenville High School in Texas, they were so good. So they would have thousand year games on offense, but they were so good that in the playoffs, they started punting in the third quarter. They would get the ball back and just punt it.

back and play defense right away play offense just like hey we're we don't want to score 100 we're sorry just we got the ball back but here just you take it to try not to score like a million in the playoffs like that's how nasty they were that's actually more it's more humiliating to point on first down than it is to just score I think but I would think so man and so yeah I had I mean we were like the little giants out there I had some of my like littlest kids who in there and they still get after it, but they've never carried the rock before. Trying to slow them down, but it's been really fun to watch though. Well, maybe not everybody, but if anybody's been on a team before, it's obviously a little different in junior high. But the dynamics are still the same when a team really gels and it comes together and it's just.

Right. They realize how good they are. They start really wanting it. It's been fun to watch, man. I'm getting a good joy out of it, and they're being good sports about it. It's a great group of kids, and it's pretty remarkable, even if it is just 60. Oh, good. Anyway, all right, guys. Well, that does it for us. You guys can follow us on social media for even more of our football takes in sixth grade football highlights. I'm at KYR Radio, Chase's at Pinecone Macro. To get the video feed, go to YouTube, just search Know Your Us podcast. You guys know the drill. Have a wonderful evening. We'll see you tomorrow. You're listening to Know Your Us podcast. Download and subscribe to KnowYourUsPodcast.com.